

TAB 12



Board of Education Report

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File #: Rep-240-22/23, **Version:** 1

Authorization to Execute an Agreement with Palmer Third Street Properties LP for Use of the Visconti Parking Garage Located at 1221 West 3rd Street, Los Angeles, CA 90071

May 9, 2023

Facilities Services Division

Action Proposed:

Authorize the Chief Facilities Executive and/or his designee(s) to execute a Parking Use Agreement (“Agreement”) with Palmer Third Street Properties LP (“Landlord”), for use of parking spaces in the Visconti parking garage located at 1221 West 3rd Street, Los Angeles, CA, 90071.

Background:

The demand for daily parking generated by Los Angeles Unified (“District”) employees, visitors, contract professionals (who pay for parking), invitees or other users associated with District’s administrative headquarter operations at 333 South Beaudry Avenue in Los Angeles (“Beaudry Building”), historically and to present day, cannot be accommodated in the Beaudry Building or in the adjacent B-2 parking garages. The District has historically contracted for additional parking at nearby surface parking lots and garages. One of these facilities is the Visconti parking garage located diagonally across the street, to the west of the Beaudry Building. The garage is located below a 297-unit multi-family residential and mixed- use commercial property known as Visconti.

On March 31, 2006, the District and Landlord executed a lease agreement (“Original Visconti Agreement”) for use of 522 parking spaces in Visconti for District’s exclusive use from 6 am to 7 pm, Monday through Friday. In addition, the District had the right to use up to 10% of its allocated parking spaces afterhours for late departures, overnight and weekend parking. On May 1, 2022, the District and Landlord executed an amendment to the agreement increasing the number of parking spaces from 522 to 630. This increase in parking spaces was necessary because the owner of the adjacent B-2 parking garage secured a tenant for the building and, as was its right under the existing agreement for B-2, the number of parking spaces available to the District was reduced.

The term of the original Visconti agreement expired on September 30, 2022. There were no rights to extend the term and the District has been in a monthly holdover period while the parties negotiate a new agreement. The District currently pays \$94,500 per month or \$1,134,000 annually for use of the Visconti parking garage.

The general terms and conditions of the proposed new agreement are essentially the same as the original agreement with the following new material terms and conditions:

- Term: 3 Years
- Rights to Extend: No
- Number of Parking Spaces: 630

- **Rate:**
 - Year 1 - \$150 per space monthly / \$94,500 total monthly / \$1,134,000 total annually
 - Year 2 - \$155 per space monthly / \$97,650 total monthly / \$1,171,800 total annually
 - Year 3 - \$160 per space monthly / \$100,800 total monthly / \$1,209,600 total annually
- **Total Cost:** \$3,515,400
- **Increases:** Annually by \$5 per space monthly
- **Right to Terminate:** Yes

The Visconti parking garage is located within the boundaries of MacArthur Park Community of Schools, Region East, and Board District 2 (Dr. Rocio Rivas).

Expected Outcomes:

Authorize staff to execute an Agreement with Landlord for use of parking spaces in the Visconti parking garage located at 1221 West 3rd Street, Los Angeles, for employees, visitors, contract professionals, invitees or other users associated with District's administrative headquarter operations at the Beaudry Building.

Board Options and Consequences:

Approval of the proposed action will allow continued parking for District employees, visitors, contract professionals, invitees or other users associated with District's administrative headquarter operations at the Beaudry Building.

Policy Implications:

There is no change to District policy.

Budget Impact:

The total projected cost of the Agreement over the three-year term is \$3,515,400 and will be funded by the General Fund.

Student Impact:

None

Equity Impact:

The proposed action supports the District's Strategic Plan Pillar 4 Operational Effectiveness and Pillar 5 Investing in Staff by providing parking to visitors, invitees, and users accessing the Beaudry Building, as well as to staff assigned to work in the Beaudry Building.

Issues and Analysis:

Alternative parking options in the area are very limited and there are only a few that have the ability to provide the number of parking spaces in one location. At least two of the alternatives are owned by the same Landlord of the Visconti property, so there is no opportunity to have different owners compete. Some of the other alternatives are more costly, much further away, and/or would require the District to pay for a parking shuttle in addition to the parking rates.

Attachments:

None

Informatives:

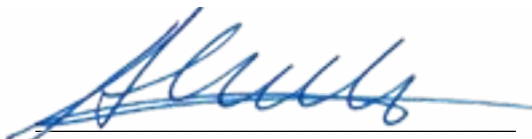
None

Submitted:

04/04/23

RESPECTFULLY SUBMITTED,

APPROVED BY:



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Superintendent



PEDRO SALCIDO
Deputy Superintendent, Business Services and Operations

REVIEWED BY:

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General Counsel



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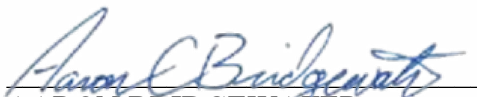
☒ Approved as to form.

REVIEWED BY:

PRESENTED BY:



TONY ATIENZA
Director, Budget Services and Financial Planning



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☒ Approved as to budget impact statement.